

By contrast, the winner sub-portfolios do not show statistically significant reversal patterns. Moreover, the contrarian loser strategy also displays a lower volatility and lower maximum drawdown than the other three, indicating that it potentially forms the basis of an efficient trading strategy.

Based on these results, a new type of double-sorted trading strategy is introduced, called a trend-following reversal strategy. It removes the part of the traditional trend-following strategy that does not produce strong price return continuation/reversal in the time series. The realised winners and contrarian losers are the two most significant sub-portfolios within trend-following reversal strategies. Moreover, compared with the other three sub-portfolios, the contrarian losers show the lowest correlation with momentum factors. Future research could focus on the potential of this approach to reduce the risk of momentum strategies by partially mitigating the impact of momentum crashes.